and its full operationalization by 31 December 2015. It was also decided to establish an arbitration committee or a Dispute Settlement Body. Overall there was an urge to develop SAARC as a powerful organization like the ASEAN.

Thirteenth Summit: Dhaka, 12–13 November 2005

In the Thirteenth Summit held at Dhaka, three agreements were reached on:

- Limited multilateral agreement on avoidance of double taxation and mutual administrative assistance in tax matters.
- Mutual administrative assistance in customs related matters.
- Establishment of the SAARC Arbitration Council.

The Heads of States and Governments also agreed to declare the years 2006–2015 as the SAARC Decade of Poverty Alleviation and set up a Poverty Alleviation Fund, to grant observer status to China and Japan, to celebrate the year 2007 as the year of Green South Asia, to induct Afghanistan as the eighth member of SAARC by the year 2007, and to ratify the additional protocol to the SAARC Convention on the Suppression of Terrorism. The major breakthrough came in as the Heads of State and Governments agreed to launch the SAFTA with effect from 1 January 2006. Further, it was agreed by the SAARC Foreign Ministers to grant SAARC observer status to the United States, South Korea, and the European Union.

Fourteenth Summit: New Delhi, 3–4 April 2007

The Summit was noteworthy as the bilateral issues did not find a place in the agenda of the Summit proceedings. The Heads of State and Governments reached an agreement to establish a South Asian University and a Food Bank. The South Asian Development Fund was also operationalized with an initial corpus of 300 million dollars. The Summit resolved to work towards trade and economic cooperation and expedite the process and also try to chalk out the future plan for a South Asian Customs Union. It also agreed to